
SPOTIFY



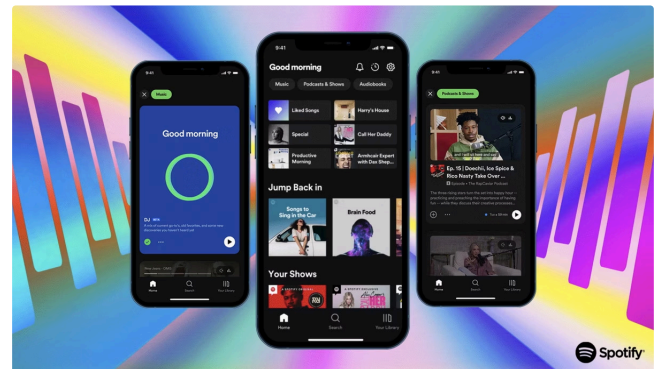
CORPORATE VALUATION

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Introduction

Spotify is the world's largest digital music streaming service, founded in 2006 in Stockholm, Sweden, by Daniel Ek and Martin Lorentzon. It offers a vast library of audio content accessible via smartphones, computers, tablets, and gaming consoles, operating on a "freemium" model that provides both free and paid subscriptions. As of September 2025, it is one of the largest providers of music streaming services, with over 713 million monthly active users comprising 281 million paying subscribers.

However, recently, "major record labels have been pressing music streaming services like Spotify to increase their fees, arguing prices have lagged inflation and subscriptions remain cheap compared to video services such as Netflix," according to the Financial Times.

As it explains, a current Spotify subscription in the United States costs \$11.99, just two dollars higher than when the service initially launched 14 years ago. While that cost may feel modest in comparison to the ever-rising prices of so many other things of late, we don't expect it to remain the same.

Income Statement (FY 2024)

	2024	2023	Variation
Revenue	15 673 €	13 247 €	18,31%
Cost of revenue	10 949 €	9 850 €	11,16%
Gross Profit	4 724 €	3 397 €	39,06%
Operating Expenses	3 359 €	3 843 €	-12,59%
EBIT	1 365 €	- 446 €	406,05%
Interest Expenses	24 €	59 €	-59,32%
EBT	1 341 €	- 505 €	365,54%
Tax Expenses	203 €	27 €	651,85%
Net Income	1 138 €	- 532 €	313,91%
Dividends	- €	- €	
Additional Retained Earnings	- 3 044 €	- 4 182 €	27,21%

(in thousands of €)

The 2024 income statement shows higher revenue and a strong improvement in gross margin and net income compared to 2023, indicating healthier underlying profitability.

Balance Sheet (FY 2024)

	2024	2023		2024	2023
Current Assets	8 379 €	5 260 €	Current Liabilities	4 450	4 090
- Cash	4 781 €	3 114 €	- Accounts Payables	1 342	978
- Accounts Receivables	771 €	858 €	- Unearned revenue	683	622
- Short-term investments	2 667 €	1 100 €	- Accrued expenses	2 347	2 440
- Other current assets	160 €	188 €	- Other current liabilities	78	50
			Non-Current Liabilities	2 030	1 733
			- Long-term debt	2 001	1 696
			- Other non-current liabilities	29	37
Non-current Assets	3 626 €	3 086 €			
- Long-term investments	1 635 €	1 215 €			
- Goodwill	1 201 €	1 137 €			
- Property and equipment	188 €	247 €			
- Other non-current assets	602 €	487 €	Equity	5 525	2 523
			Other paid in capital	6 124	5 155
			Treasury shares	- 262	- 262
			Other reserves	2 707	1 812
			Retained Earnings	- 3 044	- 4 182
TOTAL ASSETS	12 005 €	8 346 €	TOTAL EQUITY AND LIABILITIES	12 005	8 346

(In thousands of €)

The 2024 balance sheet is also stronger than in 2023, with higher cash and equity levels that improve overall financial stability.

Financial Ratios

Short-term liquidity ratios:

- Current ratio = Current assets/Current liabilities = 1,88
- Cash ratio = Cash/Current liabilities = 1,07
- NWC to total assets = NWC/Total assets = 0,33

→ Spotify shows **strong short-term liquidity**, with current assets and cash comfortably covering short-term liabilities. Working capital is well managed, limiting short-term financial risk.

Financial leverage ratios:

- Total debt ratio = Total liabilities/Total assets = 0,54
- D/E ratio = 0,37
- Equity multiplier = Total Assets/Total Equity = 2,17
- Times interest earned ratio = EBIT/Interest = 55,88

→ The company maintains **low financial risk**, relying primarily on equity financing. Very high interest coverage indicates strong debt-servicing capacity and significant financial flexibility.

Asset management ratios:

- NWC turnover = Sales/NWC = 3,99
- Total asset turnover = Sales/Total assets = 1,31

→ Spotify uses its assets **efficiently**, reflecting the scalability of its digital platform and effective working capital utilization.

Profitability ratios:

- Profit margin = Net Income/Sales = 7,26%
- Return on assets (ROA) = Net Income/Total Assets = 9,48%
- Return on equity (ROE) = Net income/Total equity = Profit margin*Total asset turnover*Equity multiplier = 20,6%

→ Profitability is **solid**, with strong ROE driven by efficient asset use rather than leverage.



CONCLUSION:

Overall, Spotify is **financially healthy and operationally efficient position**. The company combines strong liquidity, low financial risk, efficient asset utilization, and attractive shareholder returns. Its profitability is constrained by industry-specific cost structures, but operating efficiency and scale compensate for these limitations. The firm's financial profile suggests resilience, flexibility, and capacity to support future growth without excessive reliance on debt.

Market Approach

The market approach estimates Spotify's equity value by comparing it to similar publicly traded companies in the digital music and entertainment industry. Key valuation multiples such as P/E (Price-to-Earnings), P/B (Price-to-Book), and B/P (Book per Share) are analyzed.

Peer comparison table

Company	EPS (USD)	PER	PBR	BPS (USD)	Description
Spotify Technology S.A.	7.72	77.57	13.87	43.18	Global leader in music streaming, operating under a freemium model.
Tencent Music Entertainment (TME)	7.62	8.18	2.39	8.18	Leading digital music platform in China (QQ Music, Kugou, Kuwo).
Apple Inc. (Apple Music)	4.99	286.6	55.72	4.99	Diversified tech firm; Apple Music, competes directly with Spotify in Western markets.
Netflix	2.39	39.37	15.38	6.12	Global streaming platform with a similar subscription-based business model and digital service offering.

Spotify's valuation multiples are higher than Tencent's. It's explained by Tencent Music's limited presence in China, whereas Spotify operates on a global scale. Apple's multiples, on the other hand, are higher than Spotify's; however, these figures reflect Apple Inc. as a whole, not just Apple Music.,Despite this, Apple Music remains Spotify's most direct competitor, making this comparison still relevant for valuation purposes. Netflix shows a similar subscription-driven digital model, and its multiples lie between Spotify and Tencent, supporting the view that Spotify is valued comparably to global digital entertainment peers with high growth potential.

Based on the comparable company analysis, Spotify's valuation appears reasonable relative to its peers higher than Tencent due to its global reach, and aligned with digital content providers like Netflix, but lower than Apple due to Apple's diversified business model.

This positioning reflects Spotify's strong leadership in music streaming and its potential for sustainable long-term earnings growth.

WACC

01

Cost of Equity

- Beta = **1.65** (5Y Monthly 2025/11/18)
- Risk-free rate = **4.12%** (US Treasury Yield)
- Market premium = **4.33%**

Cost of Equity = 4.12% + 1.65 × 4.33% = 7,4389%

03

Tax Rate

Tax rate = Tax Expenses/EBT = 203/1341 = 15.14%

02

Cost of Debt

Credit spread: 1.07%

US Treasury Yield: 4.12%

Cost of Debt = 1.07% + 4.12% = 5.19%

04

Market Value

- Market Value of Equity = Market Cap = E = **127.352B USD** (2025/11/20)
- Market value of Debt = Book value of Total Debt = D = 2,001M€ × 1,15 = **2,301.15M USD**
- V = **129.65315B USD**

E/V = 0.9823

D/V = 0.0177

Calcul Final du WACC:

WACC = (E/V × Cost of Equity) + (D/V × Cost of Debt × (1 - Tax Rate))

WACC = (0.9823 × 7.4389%) + (0.0177 × 5.19% × (1 - 0.1514))

WACC = 7.39%

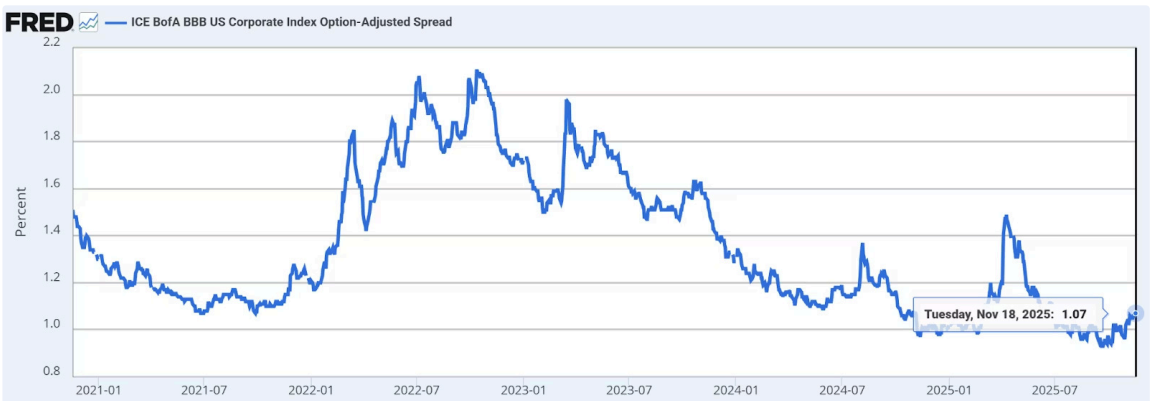
About Spotify USA Inc Corporate Bond

Issuer	Spotify USA Inc	Coupon Frequency ⓘ	No coupons
Bond type	CORPORATE	Callable	No
Bond name	SPOT 0.0% 03/15/2026	Next call date	—
Bond rating	Speculative grade	Next call price	—

Spotify Technology S.A. (NYSE:SPOT) Maintains Neutral Rating from Goldman Sachs

November 5, 2025 [Financial Modeling Prep](#)

Spotify Technology S.A. (NYSE:SPOT) is a leading music streaming service known for its vast library and personalized playlists. The company competes with other streaming giants like Apple Music and Amazon Music. On November 4, 2025, Goldman Sachs maintained a Neutral rating for SPOT, advising investors to hold their positions. At that time, SPOT was priced at \$629.60. Spotify's third-quarter results were impressive, with a 12% year-over-year revenue increase, surpassing Wall Street expectations. Premium subscribers grew by 12%, reaching 281 million, slightly below the forecast of 281.24 million. Despite a 2% decline in share price due to a mixed outlook, the company's performance remains strong.



Industry Analysis

The global music streaming industry is expanding rapidly, driven by the shift toward digital consumption and the convenience of on-demand access. The market was valued at USD 46.66 billion in 2024 and is projected to reach USD 108.39 billion by 2030, growing at a CAGR of 14.9%. North America remains the largest region, while Asia-Pacific is the fastest-growing due to smartphone adoption and affordable mobile data.

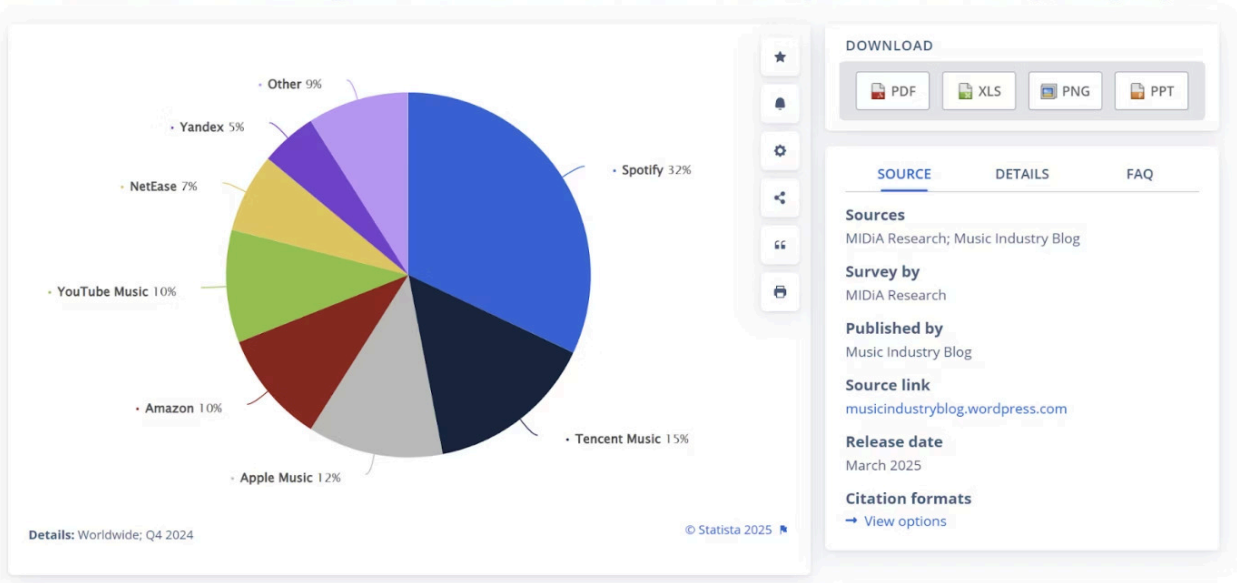
The industry is highly concentrated, with Spotify leading 32% of global subscribers, followed by Apple Music (12%), Tencent Music (11%), Amazon Music (10%), and YouTube Music (10%). The on-demand streaming segment accounts for about 70% of market share, reflecting strong consumer preference for personalized, flexible access to content.

Growth is fueled by the adoption of subscription and freemium models, where users upgrade for ad-free experiences. Spotify premium subscribers have increased from under 30 million in 2015 to over 280 million by 2025.

Additionally, artificial intelligence (AI) and machine learning have transformed how platforms recommend and personalize content, improving user engagement. The inclusion of podcasts, audiobooks, and live audio content has also diversified revenue streams and extended platform engagement time.

Overall, the music streaming market is expected to maintain strong growth as platforms integrate AI and diversify into new audio formats. Spotify, as the global leader, is well-positioned to benefit from these trends and sustain its dominance through innovation and scale.

Share of music streaming subscribers worldwide in the 4th quarter of 2024, by company



PESTEL Analysis



Political

Significant political factor involving the distribution of revenue to artists and labels. The Music Modernization Act in the U.S. aims to make licensing more equal.



Economic

Music streaming is dominant, making up 84% of music industry revenue, with global streaming revenue at \$17.5 billion and consistently growing. Spotify's revenue is primarily from Premium Services (88% in 2021).



Social

Americans are most likely to stream; globally, 55% of 16-34 year-olds use audio subscriptions. Spotify's user base is heavily weighted toward 18-35 year-olds (62%).



Technological

Relies on content server infrastructure, content delivery networks, audio quality optimization, social integration, and offline playback. Technological advancements are essential for remaining competitive and include the powerful use of AI for personalization.



Environmental

Concerns over the environmental impact from data centers and infrastructure, which require high energy consumption (e.g., CO2 emissions). Spotify is transparent about its emissions breakdown.



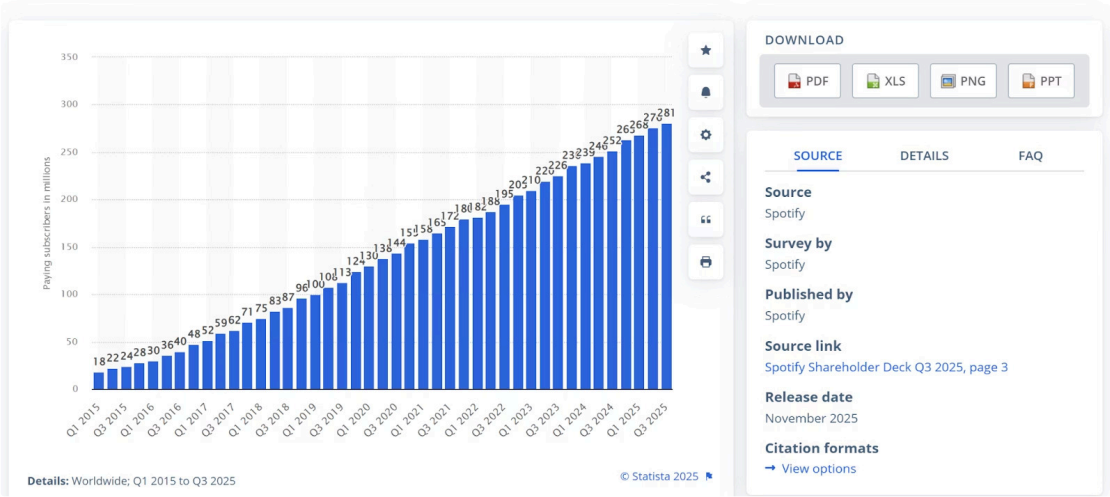
Legal

Regulations like GDPR and CCPA require high standards for handling consumer data. Spotify maintains transparency about how they collect and protect user personal data.

SWOT ANALYSIS

STRENGTHS	WEAKNESSES
1. Music industry disruptor 2. Expansive music library catering to every type of user 3. Extensive application of technology portfolio 4. Highly effective localized pricing strategy 5. Effective distribution channels 6. Established partnerships with a wide range of artists and label distributors 7. Enabled by its portfolio of acquisitions	1. Limited revenue streams 2. Lack of competitive differentiation 3. Long history of unprofitability 4. Royalty fees that are lower than competitors'
OPPORTUNITIES	THREATS
1. Focusing on emerging markets 2. Expanding business segments 3. Publishing original and/or exclusive content 4. Venturing into new content verticals	1. Highly competitive music streaming market 2. Emerging alternatives, particularly in the Web3 space 3. Consumers' ever-shifting media consumption behavior 4. Vulnerability to persistent piracy 5. Changes in the regulatory environment

Number of Spotify premium subscribers worldwide from 1st quarter 2015 to 3rd quarter of 2025
(in millions)



Spotify's premium subscribers continue to increase.



Conclusion :

Spotify's strong technology, vast music library, and global reach make it a leader in music streaming. However, limited revenue sources and profitability issues remain challenges. Expanding into new markets and creating original content can drive growth, but rising competition and changing consumer habits pose ongoing risks.

Income Approach

Key Assumptions

- **Revenue growth stability:** Spotify's revenue growth has remained consistent over recent years, even during bad financial years like 2022, 2023, reflecting a mature but still expanding subscription-based business model.
- **Operational normalization:** The TTM income statement shows higher net income in 2025 compared to 2024, confirming the company's transition from losses to sustainable profitability.
- **Capital discipline:** Given Spotify's asset-light digital platform, capital expenditures and net working capital requirements are assumed to remain broadly stable relative to revenue.
- **Internal growth capacity:** Financial ratios indicate strong liquidity, low leverage, and efficient asset utilization, supporting the firm's ability to finance growth internally without reliance on additional debt.

→ Under these assumptions, free cash flow growth is expected to reflect recent operational momentum

Free Cash Flow Estimation

FCF 2025 = **€2.915 billion**, representing an increase of approximately **28%** compared to 2024. Assuming a similar operational trajectory into 2026:

$$FCF_{2026} = 2.915 \times 1.28 = 3.731 \text{ billion EUR} = 4.291 \text{ billion USD}$$

(Here, growth rate is not assumed to persist indefinitely, but rather reflects a short-term normalization phase following Spotify's recent profitability inflection, and positive financial ratios analysis.)

→ Using reverse DCF Model

- Current Stock Price: **\$597,87**
- Share Outstanding: **205**
- E/V: **0.9823**
- Weighted Average Cost of Capital (WACC): **7.39%**
- Free Cash Flow (FCF₁): **\$4.29 billion**

$$g = WACC - \frac{FCF_1}{EV}$$

The implied perpetual growth rate = **3.91%** Is it possible?

Result Interpretation

The implied perpetual growth rate of **3.91%** derived from the reverse DCF appears **reasonable and economically defensible** when assessed against Spotify's financial profile, competitive positioning, and capital allocation strategy.

Financial Health

Spotify's **financial structure is conservative**, characterized by low leverage and high interest coverage. This financial flexibility reduces downside risk and supports sustainable growth without reliance on additional debt financing.

Profitability Metrics

High **Return on Equity**, which reflects efficient value creation by operational performance rather than financial leverage. This is reinforced by a **high PBR**, indicating that the market assigns a significant premium to Spotify's future earning capacity and intangible assets.

Market Position

As the **global leader with 32% market share**, the company benefits from scale effects, strong user engagement, and exceptionally high customer retention, which limits revenue volatility and enhances cash flow visibility.

The implied growth rate remains **well below the expected growth of the global music streaming industry**, suggesting that the market is not pricing aggressive assumptions. Instead, the 3.91% rate reflects a view of Spotify as a mature, financially sound platform capable of growing steadily in line with global economic expansion.

CONCLUSION: Buy or Sell?

BUY

Based on the comprehensive corporation valuation, Spotify presents a **compelling investment opportunity**. The company has successfully transformed its operational efficiency, maintains strong competitive positioning, and operates in a rapidly growing industry. The firm's financial profile suggests resilience, flexibility, and capacity to support future growth without excessive reliance on debt.

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